Amal Ltd

Sulphur-chemicals maker of the Atul group — earning-trigger & management-consistency read

Q1-2027 · BSE 506597 · NO-CONCALL → WEB DEEP-DIVE · Specialty chemicals

1. Snapshot

What the business does: Amal Ltd (set up 1974, Ankleshwar, Gujarat) makes **sulphuric acid** and **oleum** (a concentrated form of sulphuric acid) plus their higher-value downstream products **sulphur dioxide (SO_2)** and **sulphur trioxide (SO_3)**. These are basic industrial chemicals sold to dye, pigment, detergent, agrochemical, pharma and water-treatment makers. It is part of the **Atul group** — Atul Ltd controls it (~49.9% via Atul Finserv; total promoter holding ~71.3%). Its subsidiary **Amal Speciality Chemicals Ltd (ASCL)** runs a 300-tonnes-per-day specialty plant commissioned in FY23, which is what turned Amal from a tiny bulk-acid maker into a fast-growing specialty player. In plain terms: it takes sulphur and turns it into acids and sulphur gases that other factories need as raw material.

Key numbers (consolidated, unless noted)	
Market cap	₹958 cr — the total value the market puts on the whole company.
FY26 revenue	₹240 cr — total sales for the year to Mar-2026, up ~77% on FY25 (₹135 cr). But the jump was mostly higher selling prices, not more volume (volumes rose only ~3%).
FY26 net profit	₹22 cr — the year's final profit; it actually **fell** from ₹29 cr in FY25 even though sales nearly doubled (margins were squeezed).
FY26 operating margin	~15–16% — down from ~32% a year earlier; roughly half the profit-per-rupee-of-sales evaporated as raw-material (sulphur) costs spiked.
Valuation	P/E ~32x on consolidated earnings — the price is ~32 years of current profit; not cheap. (The standalone P/E of ~141x is misleading because most earnings sit in the ASCL subsidiary.)
Balance sheet	**Debt-free**, with ~₹38 cr cash — no borrowings, so it can self-fund growth. ROCE ~26%, ROE ~20% (how well it earns on capital / on shareholders' money — both healthy).

2. Concall coverage

No concall transcripts were available on Screener — this report is based on a global web deep-dive. Amal Ltd is a small-cap that does not appear to hold quarterly earnings conference calls, so there is no promised-vs-delivered call record to read. The analysis below is built from the public record: exchange result filings, results-based news coverage, the company/Atul investor documents, and Screener's financial history.

Sources used: Screener.in (consolidated & standalone financials, BSE 506597); Whalesbook and ScanX results coverage (Q1 FY27 and FY26 results); business-standard/tradebrains results notes; Amal Ltd / Atul group corporate information. A dedicated equity-research note for Amal was checked and none was found.

Latest update highlights — Q1 FY27 (quarter to Jun-2026)

- **Profit jumped.** Consolidated revenue ~**₹96.5 cr** with net profit **₹16.7 cr** for the single quarter — nearly the whole of FY26's ₹22 cr full-year profit in one quarter. A strong start, but note ~₹5.6 cr of that came from **other income**, including Gujarat Industrial Policy 2015 government incentives — i.e. not all of it is core operating profit.

- **Capacity almost maxed out.** Management said existing capacity is "almost fully utilised" — a sign of solid demand, and the reason for the new expansion below.
- **New expansion approved.** The board green-lit a **~₹12 cr** capex to more than double SO_2 capacity — from 45 to **105 tonnes/day (+60 tpd)** — over roughly two years, funded from internal cash plus some debt. This is the concrete next leg of growth.
- **Seasonal note.** A planned annual maintenance shutdown fell in Q1, so output was partly held back this quarter.
- **Tone:** confident/expansionary — raising capacity and lifting dividend, no debt taken on to date.

Standalone (parent-only) Q1 FY27 was much smaller — revenue ₹26.8 cr, profit ₹2.4 cr — because the bulk of the business now sits in the ASCL specialty subsidiary; the consolidated figures are the meaningful ones.

Business mix & capacity (quick facts)

Domestic vs export split: not broken out by the company. These are heavy, largely domestic industrial chemicals (sulphuric acid/oleum) sold to Indian dye, pigment, detergent and agrochemical makers — so the business is understood to be **India-oriented**, but no explicit domestic/export share is disclosed. (Stated plainly rather than guessed.)

Capacity & utilization: existing plants are running **near full utilization** as of Q1 FY27 — little spare headroom, which is why the SO_2 line is being expanded from 45 → 105 tpd. The ASCL specialty plant (300 tpd, commissioned FY23) remains the growth engine. In plain terms: they are selling about all they can make, so more output needs new plant — hence the capex.

3. Earning Trigger thesis ★

The core driver is the **scale-up into higher-value sulphur derivatives** through the ASCL specialty plant, now compounded by a fresh **SO_2 capacity expansion (45 → 105 tpd)** against near-full utilization. Since the 300-tpd plant came on stream in FY23, consolidated revenue has gone from ₹43 cr (FY22) to ₹240 cr (FY26) — real, visible growth. The catch: this has reliably grown *revenue*, but not yet *durable profit* — FY26 net profit fell even as sales nearly doubled, because sulphur (the main raw material) spiked ~164% and margins halved. So the trigger's ability to grow **earnings** (not just sales) is still unproven and swings hard with sulphur prices.

Trigger	What the record says	Evidence so far	Horizon	Strength
ASCL 300-tpd specialty ramp	Move from bulk acid into SO_2/SO_3 derivatives drives multi-year sales growth.	Consolidated sales ₹43 cr → ₹240 cr (FY22→FY26), ~51% CAGR; plants near full utilization.	Playing out now	**Strong** on volume/ scale — the revenue is real.
SO_2 capacity doubling	~₹12 cr capex, 45 → 105 tpd over ~2 yrs, self-funded.	Approved Q1 FY27; not yet built. Existing capacity full, so demand backdrop is supportive.	~2 years out	**Moderate** — concrete plan, but yet to deliver.
Margin / earnings durability	Turning the revenue growth into steady profit.	FY26 EBITDA margin fell 32% → 16%; profit dropped; Q1 FY27 rebound partly one-off (₹5.6 cr other income).	Ongoing	**Weak/Unproven** — profit swings with sulphur prices.

4. Management Consistency scorecard

Note: with **no earnings calls**, there is no quarter-by-quarter "we promised X" record to hold management to. The read below is inferred from actions and results across FY22–Q1 FY27, so the consistency judgement is necessarily **limited**.

Period	What was signalled / expected	What actually happened	Verdict
FY22–FY23	Commission the 300-tpd ASCL plant and scale specialty output.	Plant commissioned FY23; sales began climbing (₹43→₹61 cr), but FY23 posted a ₹16 cr consolidated loss during ramp-up.	**Partly**
FY24–FY25	Ramp the new plant to profitability.	Sales ₹86 → ₹135 cr; profit recovered strongly to ₹29 cr (FY25) at ~32% margin. Clear delivery.	**Delivered**
FY26	Keep growing after the strong FY25.	Sales +77% to ₹240 cr, but profit *fell* to ₹22 cr as sulphur costs spiked and margins halved. Growth was largely price-led, not volume.	**Missed** (on profit)
Q1 FY27	Sustain momentum; fund next expansion.	Strong quarter (₹16.7 cr profit, aided by ₹5.6 cr incentives); SO_2 expansion approved, stayed debt-free, dividend raised.	**Too-early** (promising)

Narrative drift: the strategic story has stayed **steady and sensible** — build specialty sulphur-chemical capacity, stay debt-free, grow with the parent Atul group. Where the record wobbles is **profitability**: earnings have been erratic (a loss in FY23, a strong FY25, a margin-hit FY26), largely because raw-material sulphur prices swing the P&L. Capital discipline is a genuine positive — debt-free, cash-funded expansion, rising dividend. The main accountability gap is structural: no concalls means less transparency and no forward guidance to check against.

5. Bottom line — two verdicts

Durable earning trigger? → MAYBE

There is a concrete, live driver — a specialty plant that has genuinely multiplied revenue and a freshly approved capacity doubling against full utilization. But it has reliably grown **sales**, not **profit**: FY26 earnings fell despite an ~77% revenue jump, and the strong Q1 FY27 leaned on one-off incentives. Until margins prove they can hold through a sulphur-price cycle, the trigger is real but its earnings payoff is unproven — hence MAYBE, not YES.

Management consistent? → MAYBE

The strategy has been steady and capital discipline is a real plus (debt-free, self-funded growth, rising dividend), and management delivered impressively in FY24–FY25. But profit delivery has been erratic (FY23 loss, FY26 margin miss), and — critically — Amal holds no earnings calls, so there is no promised-vs-delivered record to verify. Steady story, mixed profit execution, limited transparency → MAYBE.

This is not investment advice. It is an AI-generated reading of the public record for Amal Ltd; no concall transcripts were available, so it relies on filings, results coverage and financial history. Verify every figure and do your own due diligence before making any decision.